of the superpowers and capacity to judge every external relation on its own merits, in accordance with national interests.

The emergence of the South has also produced a new set of contradictions. The internationalisation of production has continued to differentiate the South among peripheries, semi-peripheries, and now 'emerging' semi-peripheries. One of the key questions is what role the semi-peripheries, and especially the 'emerging' ones, play in the system. Semi-peripheries have in the past been seen as systemic safety valves, by which monopoly capital outsources its production to areas with cheaper labour and natural resources.

During the Cold War, the safety-valve policy gained geo-strategic expression in the Nixon-Kissinger Doctrine, whose purpose was to select Southern partners as proxies in regional economic expansion and political-military stabilisation. Rarely did the policy fail, as indeed it did in Iran. The most precious proxy, then as today, was Israel, but there were other important ones, like Brazil, where the phenomenon was termed 'sub-imperialism', that is, an attempt to go beyond semi-peripheral conveyor-belt functions.

The term called attention to a new contradiction, not only between peripheries and semi-peripheries, but also between centres and the emerging semi-peripheries of the time, regardless of their ideological orientation (Brazil was under a right-wing dictatorship). The contradiction remained non-antagonistic, until the military regime overstepped its boundaries. It negotiated a nuclear accord with West Germany and recognised independent Angola. Thus, the dictatorship was abandoned by the United States, at a time of swelling internal mass mobilisation. The transition was controlled by financial and other political means, leading to the eventual 'reconversion' of this semi-periphery to a de-nationalised neoliberal financial playground.

The term also called attention to the fact that whatever emergence occurred under monopoly capitalism, and its financial and technological domination, it could only be based on the super-exploitation of domestic labour (not the social pacts characterising the centres of imperialism). It was this internal relation that intensified external dependence, creating the need for export markets for semi-peripheral manufacturers and the exertion of regional political-military influence, so as to resolve its chronic profit realisation crisis.

The subsequent 'reconversion' of semi-peripheries generally has produced contradictory effects, whereby a process of privatisation, enhanced extroversion, and de-nationalisation has accentuated internal class conflicts, but also led to the formation of new giant blocs of domestic capitals, which are once again vying for a place in the sun.